

Module 3: Technologies & Business Models

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E-Strategy (Electronic Strategy)

An **E-strategy** is a long-term plan integrating digital technologies and e-commerce models to achieve competitive advantage. Rather than a minor IT or marketing update, it represents a complete shift toward digital-first operations, transforming how organizations create, deliver, and manage value.

By prioritizing data systems, automation, and connectivity over physical presence, an e-strategy replaces manual processes with optimized digital workflows. This framework emphasizes direct customer interaction, which reduces reliance on traditional intermediaries and speeds up decision-making. Ultimately, it aligns business goals with IT infrastructure to maximize operational efficiency, expand customer reach, and drive value creation.

Traditional Strategy vs E-Strategy

Aspect	Traditional Strategy	E-Strategy
Business Focus	Physical assets and locations	Digital platforms and networks
Market Reach	Limited geographic reach	Global reach through internet
Supply Chain	Linear and fixed structure	Dynamic and network-based
Intermediaries	High dependency on middlemen	Reduced or eliminated intermediaries
Decision Making	Slow and experience-based	Fast and data-driven
Customer Interaction	Face-to-face communication	Digital and automated interaction
Cost Structure	High operational cost	Lower cost due to automation

Core Objectives of E-Strategy

- 1) Market Penetration and Expansion:** E-strategy helps organizations expand their reach beyond geographical boundaries. Businesses can target global customers without establishing physical stores in every location. Digital platforms allow rapid entry into new markets and customer segments.
- 2) Cost Optimization:** It reduces operational costs by minimizing physical infrastructure, labor dependency, and manual processes. Automation in order processing, inventory management, and customer service significantly lowers expenses.

- 3) **Value Creation:** E-strategy focuses on creating additional value for customers through personalization, convenience, and faster services. Features like AI-based recommendations, 24/7 availability, and instant support enhance customer experience.
- 4) **Competitive Advantage:** Organizations use digital tools to gain an advantage over competitors by offering better pricing, faster delivery, improved services, and innovative digital features.

Strategic Methods for Developing E-Commerce

Developing an effective e-commerce system requires a structured and systematic strategy. It is generally carried out in four major phases: analysis, design, implementation, and evaluation.

Phase 1: Strategic Assessment and Analysis (Where are we?)

This phase focuses on understanding the current internal and external business environment before implementing any digital system.

1) SWOT Analysis

- **Strengths:** Internal advantages like strong brand, advanced technology, or loyal customers
- **Weaknesses:** Internal limitations such as outdated systems or lack of digital expertise
- **Opportunities:** External chances like growing online market or new customer segments
- **Threats:** External risks like competition, cyber-attacks, or market saturation

2) Value Chain Analysis: This analysis identifies how each business activity contributes to value creation and where digital technology can improve efficiency. It focuses on areas such as procurement, production, logistics, marketing, and customer service. For example:

- Automating inventory management
- Digital tracking of deliveries
- Using AI chatbots for customer service

3) Competitor Benchmarking: This involves analyzing competitors' e-commerce strategies, including:

- Their business models (B2B, B2C, etc.)
- Pricing strategies
- Website performance and user experience
- Technology usage and innovation

This helps organizations identify gaps and opportunities in their own strategy.

Phase 2: Strategy Formulation and Design (Where do we want to go?)

This phase defines the structure of the digital business model and revenue generation system.

1) Business Model Selection: Organizations choose suitable e-commerce models such as:

- B2B (Business to Business)
- Subscription-based models
- B2C (Business to Consumer)
- Brokerage models
- C2C (Consumer to Consumer)

2) Revenue Model Definition: This defines how the business will generate income, such as:

- Transaction-based revenue (commission on sales)
- Subscription fees (monthly/yearly payments)
- Advertising revenue
- Product markup in retail models

3) Targeting and Positioning: This involves identifying the target audience and designing the digital experience accordingly. It includes:

- Understanding customer needs and behavior
- Designing user-friendly interfaces
- Creating personalized shopping experiences
- Reducing customer effort in decision-making

Phase 3: Strategy Implementation (How do we get there?)

This phase involves executing the plan by building technical and operational systems.

1) Infrastructure Sourcing: Organizations decide whether to:

- Build systems internally (high control, high cost)
- Use cloud-based services or SaaS platforms (faster deployment, lower cost)

2) System Integration: E-commerce systems must be integrated with other enterprise systems such as:

- **ERP (Enterprise Resource Planning):** Manages inventory, finance, and operations
- **CRM (Customer Relationship Management):** Tracks customer behavior and improves retention

This ensures smooth flow of information across departments.

3) Security and Compliance: Security is critical in implementation. Measures include:

- SSL encryption for secure communication
- Firewalls to prevent unauthorized access
- Secure payment gateways
- Compliance with data protection regulations

Phase 4: Strategy Evaluation and Optimization (How did we perform?)

This phase ensures continuous improvement based on data and feedback.

1) Key Performance Indicators (KPIs):

Organizations track metrics such as:

- Customer Acquisition Cost (CAC)
- Customer Lifetime Value (CLV)
- Conversion rate
- Cart abandonment rate
- Revenue growth

2) Web Analytics: Web analytics tools are used to study:

- User behavior on websites
- Navigation patterns
- Drop-off points in the purchase process
- Effectiveness of marketing campaigns

3) Continuous Improvement: Based on analytics, businesses:

- Improve UI/UX design

- Optimize pricing strategies
- Enhance recommendation systems
- Upgrade infrastructure

Important Concept: Channel Conflict

Channel conflict occurs when online sales channels compete with offline distribution channels of the same company. For example, an e-commerce platform may offer lower prices than physical stores, creating tension with traditional retailers or partners. Proper strategy must balance both channels to avoid business disruption.